

At a Glance

H.R. 5301, PIPES Act of 2025

As ordered reported by the House Committee on Transportation and Infrastructure on September 17, 2025

By Fiscal Year, Millions of Dollars	2026	2026-2030	2026-2035
Direct Spending (Outlays)	*	*	*
Revenues	*	*	1
Increase or Decrease (-) in the Deficit	*	*	-1
Spending Subject to Appropriation (Outlays)	-76	323	not estimated

Increases <i>net direct spending</i> in any of the four consecutive 10-year periods beginning in 2036?	*	Statutory pay-as-you-go procedures apply?	Yes
Mandate Effects			
Increases <i>on-budget deficits</i> in any of the four consecutive 10-year periods beginning in 2036?	No	Contains intergovernmental mandate?	No
		Contains private-sector mandate?	Yes, Over Threshold

* = between -\$500,000 and \$500,000.

The bill would

- Reauthorize programs managed by the Pipeline and Hazardous Materials Safety Administration (PHMSA) through 2029
- Require PHMSA to conduct regulatory and inspection activities and make grants
- Increase the maximum civil penalty for violating certain requirements related to pipeline safety
- Impose private-sector mandates by reauthorizing user fees and authorizing new or revised safety regulations

Estimated budgetary effects would mainly stem from

- Authorizing appropriations for PHMSA programs through 2029
- Authorizing PHMSA to collect pipeline safety and natural gas storage facility fees
- Increasing collections of civil and criminal penalties

Areas of significant uncertainty include

- Projecting the frequency and severity of pipeline violations
- Predicting the deterrent effect of larger civil and criminal penalties

Detailed estimate begins on the next page.

See also

[CBO's Cost Estimates Explained](#), [CBO Describes Its Cost-Estimating Process](#), [Glossary](#)



Bill Summary

H.R. 5301 would reauthorize the pipeline safety programs of the Pipeline and Hazardous Materials Safety Administration (PHMSA) through 2029. The bill also would require PHMSA to conduct various regulatory, grantmaking, and inspection activities and would require the Government Accountability Office to evaluate and report on various pipeline safety programs. Finally, H.R. 5301 would increase civil and criminal penalties for certain violations of pipeline safety requirements.

Estimated Federal Cost

The estimated budgetary effects of H.R. 5301 are shown in Table 1. The costs of the legislation fall within budget functions 400 (transportation), 750 (administration of justice), and 800 (general government).

Table 1.
Estimated Budgetary Effects of H.R. 5301

	By Fiscal Year, Millions of Dollars					2026-2030
	2026	2027	2028	2029	2030	
	Increases or Decreases (-) in Spending Subject to Appropriation					
Estimated Authorization	77	235	236	238	0	786
Estimated Outlays	-76	19	60	96	224	323

CBO estimates that enacting the bill would increase revenues from civil and criminal penalties by less than \$500,000 in every year, totaling \$1 million over the 2026-2035 period. Because criminal penalties can be spent without future appropriation, the bill also would increase direct spending by less than \$500,000 in every year and over the 2026-2035 period.

Basis of Estimate

For this estimate, CBO assumes that the bill will be enacted early in calendar year 2026, that the specified and necessary amounts will be provided each year, and that outlays will follow historical spending patterns for the affected programs.

Spending Subject to Appropriation

H.R. 5301 would authorize gross appropriations of \$1.6 billion over the 2026-2030 period, which would be partially offset by \$800 million in collections of user fees also authorized by the bill, resulting in a net authorization of about \$800 million over that period. CBO estimates that implementing H.R. 5301 would cost \$323 million over the 2026-2030 period, assuming appropriation actions consistent with that estimate (see Table 2).



Table 2.
Estimated Changes in Spending Subject to Appropriation Under H.R. 5301

	By Fiscal Year, Millions of Dollars					2026-2030
	2026	2027	2028	2029	2030	
Safety Programs Financed by User Fees						
Authorization	188	197	205	214	0	804
Estimated Outlays	66	144	179	205	136	730
Offsetting Collections of User Fees						
Estimated Authorization	-188	-197	-205	-214	0	-804
Estimated Outlays	-188	-197	-205	-214	0	-804
Subtotal, User Fee Programs						
Estimated Authorization	0	0	0	0	0	0
Estimated Outlays	-122	-53	-26	-9	136	-74
Securing Systems Grants						
Authorization	0	150	150	150	0	450
Estimated Outlays	0	*	2	17	54	73
Safety Programs Financed by a Trust Fund						
Authorization	30	31	31	32	0	124
Estimated Outlays	18	26	31	32	13	120
Operational Expenses						
Authorization	32	32	33	34	0	131
Estimated Outlays	22	29	33	34	10	128
Other Activities						
Estimated Authorization	15	22	22	22	0	81
Estimated Outlays	6	17	20	22	11	76
Subtotal, All Other						
Estimated Authorization	77	235	236	238	0	786
Estimated Outlays	46	72	86	105	88	397
Total Changes						
Estimated Authorization	77	235	236	238	0	786
Estimated Outlays	-76	19	60	96	224	323

* = between zero and \$500,000.

Safety Programs Financed by User Fees. Most safety programs operated by PHMSA are financed by fees collected from the owners and operators of pipelines and natural gas storage facilities. CBO estimates that implementing the provisions related to safety programs would, on net, reduce spending subject to appropriation by \$74 million over the 2026-2030 period and would increase such spending by \$74 million after 2030 so that there would be no net effect on spending over time, assuming appropriation actions consistent with that estimate.

Authorized Spending for Safety Programs. H.R. 5301 would authorize the appropriation of specific amounts each year totaling \$804 million over the 2026-2030 period for certain safety programs. CBO estimates that implementing those provisions would cost \$730 million over the same period. In 2025, the Congress provided \$188 million for those activities.



Offsetting Collections of User Fees. The fees that PHMSA is generally authorized to collect from the natural gas and pipeline industries to cover the costs of certain safety programs are treated as offsets to discretionary spending. For this estimate, CBO assumes that PHMSA would collect fees equal to 100 percent of the authorized amount each year, totaling \$804 million in collections over the 2026-2030 period.

Securing Systems Grants. The bill would authorize appropriations totaling \$450 million over the 2026-2030 period for a program to help pay for repairs to or replacement of natural gas pipelines. CBO estimates that implementing the provision would cost \$73 million over the 2026-2030 period and \$377 million after 2030.

Safety Programs Financed by a Trust Fund. The bill would authorize the appropriation of specific amounts from the Oil Spill Liability Trust Fund totaling \$124 million over the 2026-2030 period to pay for pipeline safety programs. CBO estimates that implementing that provision would cost \$120 million over the same period and \$4 million after 2030. In 2025, the Congress provided \$30 million for those activities.

Operational Expenses. The bill would authorize the appropriation of specific amounts each year totaling \$131 million over the 2026-2030 period for PHMSA's operational expenses. CBO estimates that implementing that provision would cost \$128 million over the same period and \$3 million after 2030. In 2025, the Congress provided \$32 million for those activities.

Other Activities. CBO estimates that H.R. 5301 would authorize appropriations totaling \$81 million over the 2026-2030 period for other activities conducted by PHMSA and other agencies. CBO estimates that the bill would authorize the following amounts:

- \$40 million for emergency response grants (as specified in the bill);
- \$31 million for PHMSA to establish a voluntary information system related to pipeline safety (as specified in the bill);
- \$8 million for damage prevention programs (as specified in the bill); and
- \$2 million for various reports and for administrative activities conducted by federal agencies, primarily the Government Accountability Office.

CBO estimates that the total cost of implementing those provisions would be \$76 million over the 2026-2030 period.

Revenues and Direct Spending

Several sections of H.R. 5301 would increase collections of civil and criminal penalties, which are recorded in the budget as revenues. Criminal penalties are deposited in the Crime Victims Fund and later spent without further appropriation.



Section 22 would raise the maximum civil penalty PHMSA may levy for violations of certain requirements and regulations related to pipeline safety and maintenance. Specifically, the maximum for a series of daily violations would increase from \$2.7 million in 2025 to \$3.4 million in 2026. Over the past several years, collections of those penalties have totaled about \$5 million per year, on average, but most have not reached the maximum. Using information from PHMSA, CBO estimates that enacting section 22 would reduce the number of violations but would increase collections, on net, by \$1 million over the 2026-2035 period.

In addition, based on the number of expected cases, CBO estimates that the increase in collections of criminal penalties and the associated increase in direct spending under H.R. 5301 would total less than \$500,000 over the 2026-2035 period.

Uncertainty

The estimated revenue effects of H.R. 5301 are subject to considerable uncertainty. Projecting the frequency or severity of pipeline safety violations is difficult, as is estimating the deterrent effect of larger civil penalties for those violations. Thus, the amount of additional revenue collected under the bill could be larger or smaller than CBO estimates if larger penalties led to more or fewer violations than we expect.

Pay-As-You-Go Considerations

The Statutory Pay-As-You-Go Act of 2010 establishes budget-reporting and enforcement procedures for legislation affecting direct spending or revenues. Enacting the bill would increase revenues by \$1 million over the 2026-2035 period and direct spending by less than \$500,000 over that same period.

Increase in Long-Term Net Direct Spending and Deficits

CBO estimates that enacting H.R. 5301 would not significantly increase net direct spending in any of the four consecutive 10-year periods beginning in 2036.

CBO estimates that enacting H.R. 5301 would not increase on-budget deficits in any of the four consecutive 10-year periods beginning in 2036.

Mandates

H.R. 5301 would impose private-sector mandates as defined in the Unfunded Mandates Reform Act (UMRA). The bill would reauthorize an existing mandate that permits the Department of Transportation (DOT) to collect user fees from the owners and operators of pipelines and natural gas facilities. The bill would authorize the department to collect about \$200 million each year over the 2026-2030 period. CBO estimates that the cost of compliance would exceed the private-sector threshold established in UMRA (\$214 million in 2026, adjusted annually for inflation).



The bill also would authorize DOT to issue new or revised regulations based on studies required under the bill. Those regulations could impose new mandates or expand existing mandates on operators to ensure adequate protection for buildings and occupied outdoor facilities from pipeline incidents and could revise the regulations on the maximum allowable operating pressure for pipelines. Because such regulations have not yet been issued, CBO cannot determine whether the cost of compliance would exceed UMRA's private-sector threshold.

The bill would not impose intergovernmental mandates as defined in UMRA.

Previous CBO Estimate

On January 21, 2026, CBO transmitted a [cost estimate for S. 2975](#), the PIPELINE Safety Act of 2025, as ordered reported by the Senate Committee on Commerce, Science, and Transportation on October 21, 2025. Both bills would reauthorize programs administered by PHMSA. H.R. 5301 would authorize those programs through 2029, and S. 2975 would authorize them through 2030; the two bills also would authorize different amounts. H.R. 5301 would increase civil penalties by less than S. 2975 and also would increase criminal penalties, whereas the Senate bill would not increase criminal penalties. Those differences are reflected in the estimates.



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